of her money into tax-exempt municipal bonds? It's certainly a course many retired and older people take.

I advised her against it. Inflation always worries me. She was sixty-one years old and could easily live another twenty years, and inflation of even 3 percent over two decades would cut the purchasing power of her dollars nearly in half, which would mean a gradual falloff in her standard of living. Stocks have a better chance of protecting long-term purchasing power: companies can raise prices, earn more money, increase their dividends. But stocks bring market risk, which worried her. So I made up a little story to help make my point.

Once upon a time, two rich men lived in the town of N——, near the mouth of a great river. They both had pondered long on the best way of protecting their gold and silver and carpets and tapestries. In the end, Mr. C built himself a solid stone house and locked his treasures safely in the cellar. Mr. B felt it was better to outrun thieves, who could besiege a house, so he bought a sturdy ship and put his valuables in the hold.

As chanced to happen, next year there was a flood. Mr. B's yacht floated easily enough, but Mr. C's house was inundated and his beautiful possessions ruined by the muddy water. Mr. B sailed up and removed the disconsolate Mr. C from the roof of his nearly submerged house. "You see," said Mr. B, "that flexibility is better than solidity." Mr. C tried to smile at his rescuer.

A few months later Mr. C was back in his bedraggled house. Suddenly, a great storm arose, and tremendous waves threatened to swamp Mr. B's heavily laden boat. In panic, Mr. B threw his fine goods overboard to lighten